Credit Counselling

Advising borrowers to overcome their debt burden and improve money management skills is credit counselling. The first well-known such agency was created in the USA when credit granters created National Foundation for Credit Counselling (NFCC) in 1951.[50]

India's sovereign debt is usually rated by six major sovereign credit rating agencies (SCRAs) of the world which are –

i. Fitch Ratings,
ii. Moody's Investors Service,
iii. Standard and Poor's (S&P),
iv. Dominion Bond Rating Service (DBRS),
v. Japanese Credit Rating Agency (JCRA), and
vi. Rating and Investment Information Inc., Tokyo (R&I).

As on *January 15, 2013* most of these rating agencies have put India under 'stable' category in foreign and local currencies barring Fitch and S&P which have put its foreign currency in 'negative' category. The government is taking a number of steps to improve its interaction with the major SCRAs so that they make informed decisions as the *Economic Survey 2012-13* says.

Credit Rating

To assess the credit worthiness (credit record, integrity, capability) of a prospective (would be) borrower to meet debt obligations is credit rating. Today it is done in the cases of individuals, companies and even countries. There are some world-renowned agencies such as the Moody's, S & P. The concept was first introduced by **John Moody** in the USA (1909). Usually equity share is not rated here. Primarily, ratings are an investor service.

Credit rating was introduced in India is 1988 by the ICICI and UTI, jointly. The major credit rating agencies of India are-

(i) *CRISIL* (Credit Rating Information of India Ltd.) was jointly **promoted** by ICICI and UTI with share capital coming from SBI, LIC, United India Insurance Company Ltd. to rate debt instrument —**debenture**. In April 2005 its 51 per cent equity was acquired by